



well, such as reusing proven designs in 3D ICs. Startups can also benefit from using pre-designed and silicon-proven IP blocks.

Cadence provides these blocks and subsystems, which most other major IP vendors do not offer. System-level integration and innovation at the board and software levels can also contribute to faster market readiness.

With Cadence's participation in the DLI scheme and C2S programme, how does providing software at reduced rates impact you financially?

It may surprise you, but it has been very beneficial. The DLI scheme lowers entry barriers. Ten companies may have entered this space earlier; today, that number has grown to 50.

While we provide tools to the government at a certain cost, the increased volume offsets any potential financial strain. Startups receive the tools from the government at no cost—a major shift from earlier models.

While we initially anticipated some financial impact from the DLI model, we were pleasantly surprised to see the opposite. Supporting this initiative has had a long-term impact on the ecosystem, and we view it as an investment. The results speak for themselves—our business from startups has grown significantly in 2024, and we hope the trend continues into 2025.

Do startups connect with Cadence or mainly operate via CDAC (or whoever is front-ending DLI)?

Not all startups can access the DLI scheme, and even for those that can, some prefer to establish a direct relationship with us. So yes, startups do connect directly with us.

Does Cadence also play a role in evaluating startups for the DLI scheme?

No, Cadence does not play a role in evaluating startups for the DLI scheme.

Any changes in your business model for startups?

Our business model is tailored to each startup's unique needs, timelines, and funding stages. Some proofs of concept (POCs) may take six months, while others may require 18 months or longer.

Startups typically begin with initial funding from family or early investors and progress to Series A, B, or C funding rounds. Depending on their stage, we structure commercial contracts to align with their cash flow. For instance, we might provide tools with 50% of the cost paid upfront and the remainder deferred until they secure further funding.

To put it in perspective, developing a good chip costs \$25 to \$30 million. Our flexible model significantly helps startups manage their financial challenges within this context.

You are working with AICTE and academic institutes to develop a VLSI curriculum. What skills are you prioritising in this initiative?

The VLSI curriculum is structured into three levels—basic electronics, device physics, and design processes. Our primary focus is on design—the third level.

We developed a curriculum with the All India Council for Technical Education (AICTE) and released it last year. This involved training 100 professors in teaching VLSI concepts, conducting sessions, and familiarising students with the subject.

Our efforts aim to instil design and implementation capabilities

in engineers—defining products, working with specifications, and transitioning from concept to product.

How can students and researchers stay updated with constantly changing technology?

We operate on three levels—tools, learning material, and competency development. We provide academic institutions with the same commercial tools engineers use globally, ensuring students work in real-world design environments.

Professors and doctoral students receive extensive resources, enabling them to teach practical problem-solving. Students and professionals earn digital badges, enhancing their credentials in specific design areas.

If a college wants to partner with Cadence for imparting knowledge to their students, what are the commercials involved? How should they go about initiating this dialogue? Any specific requirements from your side for them to partner with you?

There are multiple aspects to consider when imparting knowledge effectively. The Cadence University Programme provides students and professors with complimentary access to a wide range of online training courses via the Internet Learning Series (iLS).

Our software, essential for practice and lab work, is offered to educational institutions at significantly discounted rates, encouraging hands-on learning. The level of collaboration depends on the institution's intent—ranging from basic support to deeper partnerships that include curriculum design, delivery, and assessments. **EFY**

This interview is an excerpt of a longer discussion. For the full transcript, please visit: <https://efy.co.in/intapr25>

